Money from the present income that is collected and put aside for future consumption is known as **savings**. Savings of a month is the difference between the income and expenditure of that month.

Families should make sure that they save by cutting down their wasteful expenditures. The following figure shows the importance of savings and various institutions for savings and guidelines for selection of those institutions.

1. Bank Accounts

Savings Account

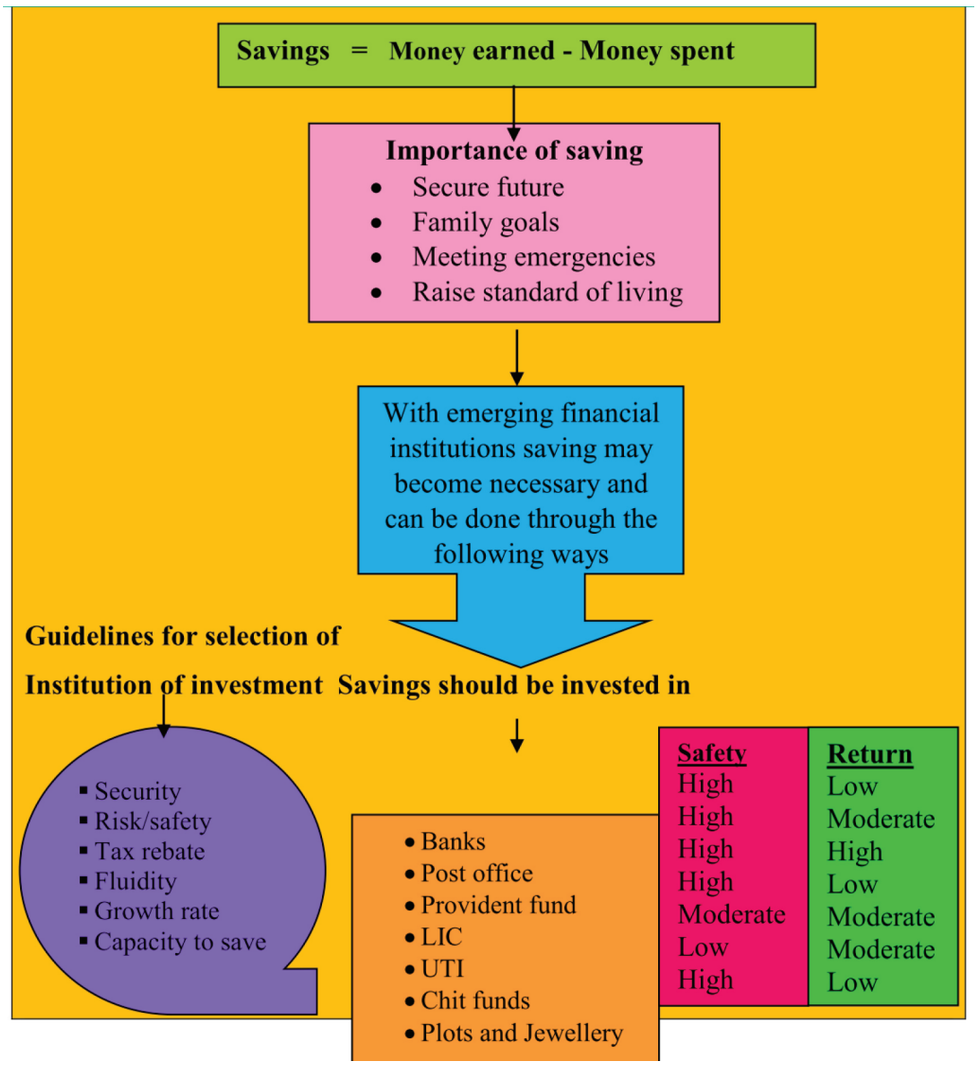
Current Account

2. Post office

Savings Account

Recurring Deposit Scheme

Post Office Time Deposit Scheme



▲ Fig. 6 Importance of Savings and Institution

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